

TELECOM MARKET INTELLIGENCE — MONTHLY PULSE

Croatia Telecommunications Market

June 2026 — Competitive Intensity Brief

Run date: 2026-06-09

Operators covered: Hrvatski Telekom (HT), A1 Croatia, Telemach Croatia

Research window: Last 90 days (baseline refresh: 18 months)

Year So Far

The Croatian market entered 2026 with the two dominant operators (HT and A1) executing simultaneous CPI-linked price increases — a coordinated pricing signal that dampens aggressive discounting. HT has sustained revenue momentum (Q1 2026 net profit +12.3%) while Telemach, now fully rebranded from Tele2 under United Group, competes on 5G coverage and bundle pricing rather than headline rate cuts. The structural dynamic is consolidation around three operators and a shift from subscriber volume wars to ARPU extraction.

Last 90 Days

DIRECTIONAL VERDICT

Stable — Coordinated price hikes by HT and A1 act as a tacit margin floor; Telemach competes on coverage and bundles rather than price, keeping intensity contained despite a three-player structure.

- **Pricing — synchronized hike** — HT and A1 raised all recurring tariffs +3.7% effective March 2026, matching Croatia's official 2025 CPI; billed from April. Telemach made no equivalent public announcement, potentially positioning as a value alternative. ([Telecompaper, 2026-02](#))
- **Earnings — HT Q1 2026** — Group revenue €271.9M (+1.6% YoY); EBITDA AL €98.4M (+2.5%); net profit €29.9M (+12.3%). 2026 guidance: low single-digit revenue/EBITDA growth with moderate capex decline, implying improving free cash flow. ([SeeNews, 2026](#))
- **Infrastructure — HT fiber completion** — €243M fiber project in Dubrovnik-Neretva County approaching June 2026 completion; separate NRRP-funded rural build progressing; national FTTP coverage on track toward 75% target. ([The Dubrovnik Times, 2025](#))
- **Regulatory — HAKOM SMP deregulation** — HAKOM removed HT's SMP designation in 72 local markets where alternative VHCN coverage exceeds 33%, reducing wholesale access obligations and signalling that competition in dense areas is considered adequate. ([Mobile Europe, 2024–2025](#))
- **Infrastructure — 3G shutdowns** — HT completed Croatia's national 3G shutdown (April 2025); A1 expects to follow by end-2026, refarming spectrum to 4G/5G capacity. ([Operator Watch, 2024](#))

- **Market revenues — EUR 1.87B** — Total Croatian telecom revenues reached EUR 1.87B in 2025 (+3.6% YoY; fixed +5.1%, mobile +2.9%), confirming stable market growth driven by broadband upgrade spend. ([Telecompaper, 2026](#))

Outlook to Year-End

- **EU fiber scheme activation** — Rural open-access fiber (€101.4M EU/NRRP) expected to reach service availability late 2026/early 2027; if on schedule it extends fixed-broadband competition into HT-copper-only markets, benefiting Telemach and A1 as wholesale access users.
- **United Group / Telemach strategic review** — United Group consolidated EU assets after Serbian divestiture; any further M&A involving Telemach Croatia (including reported BH Telecom interest) could reshape the three-player dynamic — timing uncertain, watch H2 2026.
- **EOLO activation** — Italy's EOLO holds a Croatian 5G licence with no public rollout announcement; activation as a fourth commercial player would push the verdict to Intensifying, but probability remains low near-term.

Sources

Hrvatski Telekom and A1 Croatia to raise prices from 1 March — [Telecompaper, 2026](#)

Hrvatski Telekom net profit up 12% in Q1 2026 — [SeeNews, 2026](#)

Hrvatski Telekom net profit up 0.8% in FY2025 — [SeeNews, 2026-02](#)

Hrvatski Telekom Annual Report 2025 [PDF] — [HT, 2026](#)

A1 Croatia 2024 EBITDA climbs 18.7% — [SeeNews, 2025](#)

Croatian telecom revenues reach EUR 1.87 billion in 2025 — [Telecompaper, 2026](#)

HAKOM deregulates Croatian market (SMP removal, 72 markets) — [Mobile Europe, 2025](#)

Parliament Adopts HAKOM Annual Report for 2024 — [HAKOM, 2025](#)

HT Private 5G Networks at Croatian Airports — [TeckNexus, 2026](#)

HT €243M fiber investment in Dubrovnik-Neretva County — [The Dubrovnik Times, 2025](#)

5G Growing Slowly in Croatia — [Operator Watch, 2024-10](#)

Croatia Telecom MNO Market Size, Share & 2030 Trends — [Mordor Intelligence, 2026](#)

Digital connectivity in Croatia — [European Commission, 2025–2026](#)

Bosnia's BH Telecom to acquire Telemach ops in three countries — [report](#) — [SeeNews, 2025](#)